

CONSOLIDATED AND COMPANY STATEMENT OF COMPREHENSIVE INCOME
FOR THE SIX-MONTHS PERIOD ENDED 30 SEPTEMBER 2024

KES '000	SEP '24	GROUP SEP '23	COMPANY SEP '24	COMPANY SEP '23
Trading business:				
Sales	847,615	1,172,909		
Direct and other operating costs	(1,153,622)	(1,532,269)		
Loss from trading businesses	(306,007)	(359,360)		
Financial services:				
Income from financial services	240,927	3,449,331		
Funding and other costs	(200,159)	(3,247,617)		
Share of profit from associate	39,397	-		
Profit from financial services	80,165	201,714		
Real Estate:				
Gross profit from residential unit sales	121,311	189,492		
Gain on disposal of investment properties	48,555	17,854		
Other income	12,253	70,520		
Operating costs	(308,246)	(327,578)		
Finance income/(costs)	(39,142)	568,561		
(Loss)/Profit from Centum Real Estate	(165,269)	518,849		
Two Rivers Development:				
Sales and investment income	137,703	157,594		
Direct and other operating costs	(193,280)	(196,578)		
Finance costs	(12,136)	(738,330)		
Loss from Two Rivers Development Group	(67,713)	(777,314)		
Special Economic Zone:				
Income	57,277	-		
Operating and administrative costs	(107,035)	-		
Finance costs	(238,281)	-		
Loss from Two Rivers Special Economic Zone	(288,039)	-		
Investment operations:				
Investment and other income	939,366	466,303	915,032	1,794,730
Operating and administrative costs	(253,815)	(315,795)	(261,940)	(300,393)
Finance costs	(123,830)	(142,127)	(123,830)	(142,127)
Profit from investment operations	561,721	8,381	529,262	1,352,210
Profit/(loss) before tax	(185,142)	(407,730)	529,262	1,352,210
Income tax (expense)/credit	(161,502)	(18,638)	(98,570)	80,559
Profit/(loss) after tax	(346,644)	(426,368)	430,692	1,432,769
Other comprehensive income/(loss), net of tax	164,908	632,838	13,728	4,816,155
Total comprehensive income/(loss) for the period	(181,736)	206,470	444,420	6,248,924
Attributable to:				
Owners of the parent	20,774	690,076	-	-
Non-controlling interest	(202,510)	(483,606)	-	-
Total comprehensive income/(loss) for the period	(181,736)	206,470	-	-
Earnings per share-Basic	[0.22]	0.09	-	-

CONSOLIDATED AND COMPANY STATEMENT OF FINANCIAL POSITION
AS AT 30 SEPTEMBER 2024

KES MILLION	SEP '24	GROUP MAR '24	COMPANY SEP '24	COMPANY MAR '24
Investment portfolio	7,825	8,197	46,445	47,432
Other assets	72,357	66,544	503	331
Cash and cash equivalents	535	1,431	145	320
Total Assets	80,717	76,172	47,093	48,083
Borrowings	16,532	16,591	682	1,951
Other liabilities	24,842	19,817	5,165	5,090
Total Liabilities	41,374	36,408	5,847	7,041
Total Equity	39,343	39,764	41,246	41,042
Total Capital and Liabilities	80,717	76,172	47,093	48,083
NAV per share (KES.)			63.0	62.4

CONSOLIDATED AND COMPANY STATEMENT OF CASH FLOWS
FOR THE SIX-MONTH PERIOD ENDED 30 SEPTEMBER 2024

KES MILLION	SEP '24	GROUP SEP '23	COMPANY SEP '24	COMPANY SEP '23
Opening cash and cash equivalents	546	2,909	(576)	(400)
Net cash from operations	842	6,720	2,165	842
Net cash (used in)/generated from investing activities	(233)	(1,076)	(711)	(167)
Net cash used in financing activities	(1,302)	(4,779)	(1,415)	(416)
Closing cash and cash equivalents	(147)	3,774	(537)	(141)
Comprised of:-				
Cash and cash equivalents	535	2,116	145	752
Cash classified as held for sale	-	2,551	-	-
Overdraft	(682)	(893)	(682)	(893)
Closing cash and cash equivalents	(147)	3,774	(537)	(141)

CONSOLIDATED AND COMPANY STATEMENT OF CHANGES IN EQUITY
FOR THE SIX MONTHS PERIOD ENDED 30TH SEPTEMBER 2024

KES MILLION	SEP '24	GROUP MAR '24	COMPANY SEP '24	COMPANY MAR '24
Share capital	333	333	333	333
Treasury shares	(97)	(67)	(97)	(67)
Share premium	590	590	590	590
Other reserves	(341)	(506)	19,172	19,159
Retained earnings	38,347	38,491	21,248	20,817
Proposed dividends	-	210	-	210
Non-controlling interests	511	713	-	-
Total	39,343	39,764	41,246	41,042

Centum’s focus as an investment holding company is to identify compelling investment opportunities, add value to scale them up and at an appropriate time and price, and subsequently monetize the value created. Monetization is achieved during the holding period through receipt of annuity income in the form of dividend/interest payments, repayments of shareholder loans previously advanced, and on exit/sale of stake in the portfolio companies.

COMPANY PERFORMANCE

The Company recorded a profit after tax of Kes. 431Mn compared to Kes. 1.4 Bn in the prior period on account of lower investment income.

Cost containment measures resulted in a reduction of operating and administration expenses by 13% compared to the prior period. Finance costs reduced by 13% compared to the prior period following further repayment of debt.

Other comprehensive income stood at Kes. 13 Mn compared to Kes. 4.8 Bn in the prior period, when the revaluation movement was driven by price discovery on an asset sale. The private equity portfolio was not revalued in the period.

The NAV per share increased to Kes 63.0 from Kes 62.4 as at 31st March 2024, reflecting the reduction in liabilities in the period.

COMPANY CASH FLOWS AND DEBT

The company generated Kes 2.2 Bn in net operating cash flows from annuity income, exit proceeds and repayment of shareholder loans in the half-year period. The cash proceeds were primarily applied towards debt and interest payments, reinvestment in the portfolio as well as on the share buyback program.

The company’s debt reduced to Kes 0.7 Bn, from Kes.1.9 Bn as at 31 March 2024. Gearing stood at 1.3% compared to 4% as at 31st March 2024.

CONSOLIDATED PERFORMANCE

The Consolidated performance cumulates the financial performance of our subsidiaries line by line and our proportion of the performance of associates and joint venture entities within the group.

The Group reported an improvement in the consolidated performance, with an after-tax loss of Kes 347 Mn compared to a loss of Kes 426 Mn at HY 2024. This was attributable to improved performance recorded from the trading business, Two Rivers Development and the investment operations segments.

Other comprehensive income net of tax of Kes 165 Mn was recorded compared to Kes 632 Mn in the prior period. This was on account of unrealized currency translation movements in respect to UGX denominated assets.

SHARE BUYBACK UPDATE

The Company initiated its first buyback program on 6th February 2023 to 30th September 2024 at an offer price of Kes 9.03 with 10.6 Mn shares being purchased. The share price stabilized with the volume-weighted average price (VWAP) ranging between Kes 8.0 – Kes 9.0 per share.

Following approval by the Capital Market Authority, the second buyback program commenced on 1st October 2024. As at 26th November 2024, 88,700 shares had been purchased representing 0.14% of the targeted buyback shares.

CONCLUSION AND OUTLOOK

The key focus for our Centum 5.0 strategy period is value optimization across the investment portfolio.

We continued with our debt reduction focus in the period. We have also made commendable progress in the first half of the year on implementation of key value creation initiatives in TRIFIC SEZ, Jafari Credit, our investment in Akiira, as well as Centum Real Estate. We expect these initiatives to translate into incremental revenue and growth within the portfolio companies in the second half of this financial year.

We have also embarked on the monetization of some of the value across the portfolio and we anticipate that the liquidity generated from such transactions will be redeployed into marketable securities and other high yielding opportunities to grow the annuity income.

For further information please visit the Centum website (www.centum.co.ke)

By Order of the Board,



Dr. James Mworira, CFA, CGMA
Group Chief Executive Officer and Managing Director